

Kraft-Heinz' Campbell's Soup Acquisition

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Outline

- Initial Question
- Executive Summary
- Factors to Consider (including credit reports/forecasts)
- Excel Model Introduction
- Model Explanation (Assumptions, Setup, Key Results)
- Scenario Exploration (95%)
 - Debt Premium Levels (10%, 25%, 33%)
- Answer to question/final recommendation
- Lookahead? Potential synergy opportunities, collaborations, or how this could impact KHC going forward
- Recent examples of mergers that support our conclusion
- Q and A

Initial Question: Should KH Acquire CPB?

Both companies are in the consumer goods industry and are similarly sized, making an acquisition a possibility.

The logo for Kraft Heinz, featuring the word "Kraft" in blue and "Heinz" in red, both in a serif font.

Share Price: \$23.16
Outstanding: 1.19B



Share Price: \$20.98
Outstanding: 298.15M

Important Equations for our Model

$\text{EBITDA} = \text{Earnings before Interest Taxes Depreciation Amortization}$

$\text{Leverage Ratio} = \text{Total Debt} / \text{EBITDA}$

$\text{Coverage Ratio} = \text{EBIT} / \text{Interest Expense}$

Executive Summary

Kraft Heinz is rated BBB

S&P says if they cannot fix earnings (12-24 months) they will be downgraded

Could they be downgraded for immediately violating Leverage Cov during the 1st Quarter of the acquisition

Conclusion

Rationale

Key Risks

Factors to Consider

- Size of each company
 - Financial health of KHC and CPB
 - Leverage and Coverage ratio thresholds
 - Purchase Premium
 - Debt and interest expenses
 - Analyst reports of future earnings
 - Transaction will be Debt-Financed
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- Different scenarios for selected ratios/metrics (Monte Carlo)

Explanation of ratings agencies

- Evaluate a company's ability to repay its debt
- Fall below BBB-, borrowing costs would increase significantly
- Kraft Heinz has to be careful not to over-leverage itself and risk a downgrade

DEGREE OF QUALITY

Moody's S&P and Fitch

		Moody's S&P and Fitch	
		Aaa	AAA
Investment	Optimum	Aaa	AAA
	High	Aa1 Aa2 Aa3	AA+ A- AA-
	Good	A1 A2 A3	A+ A A-
	Satisfactory	Baa1 Baa2 Baa3	BBB+ BBB BBB-
Speculation (junk bonds)	Questionable	Ba1 Ba2	BB+ BB



Campbell's controls
60% of "wet soup"
shelf space category

Campbell's Products

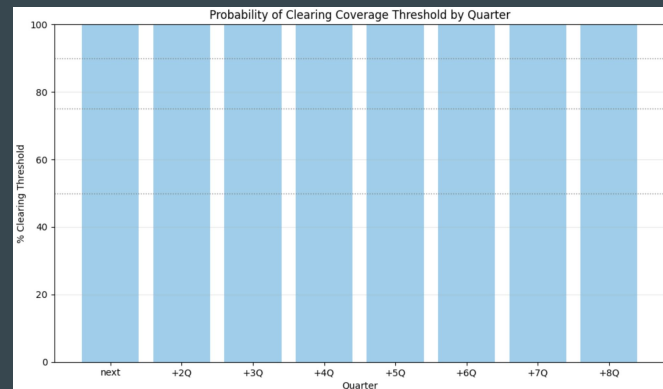
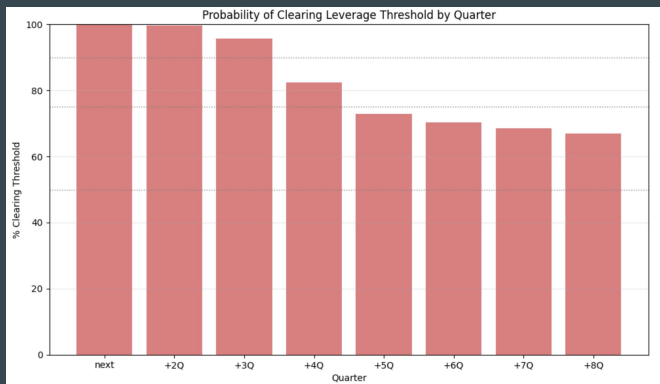
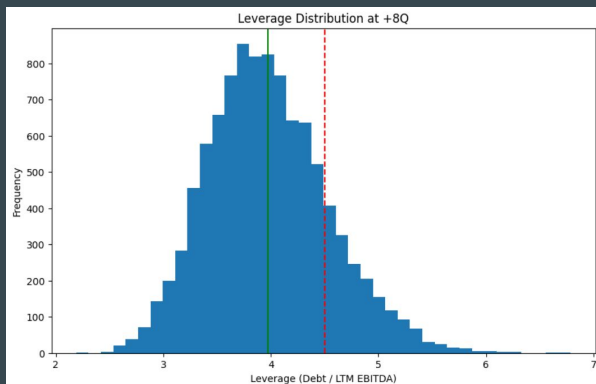


Monte Carlo Explanation

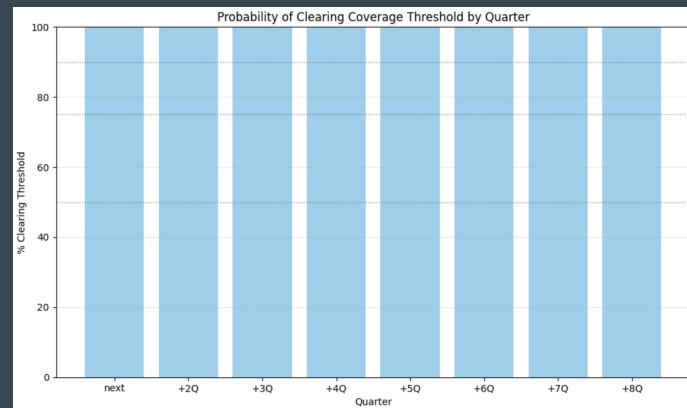
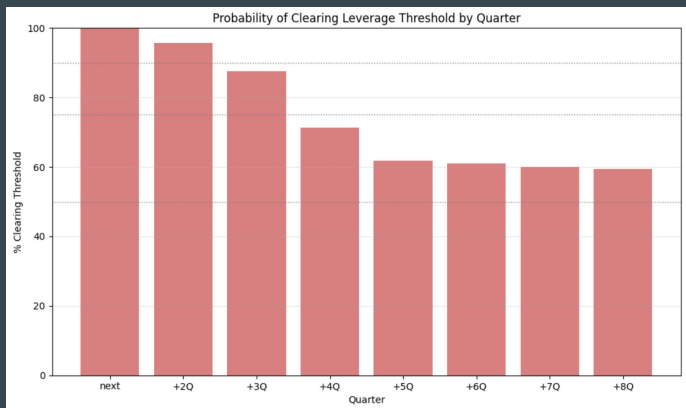
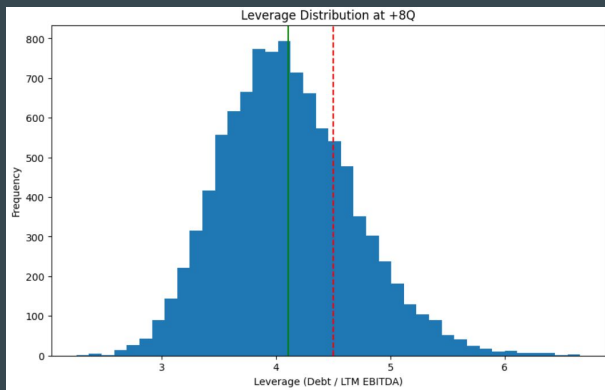
- A Monte Carlo simulation is a technique used to model uncertainty when future outcomes are not known with certainty.
- Instead of producing just one answer, it runs the same model many times using slightly different assumptions each time.
- This creates a range of possible outcomes and helps show how much variability and risk exist in the results.
- Its goal is to help decision makers understand what is likely, what is possible, and how sensitive the results are to changing inputs.
- In the KH/Campbell's acquisition model, we built a **Python model** that runs thousands of iterations so the deal can be evaluated across many possible future scenarios.

Python Model - Assumptions							
Financial Covenant	Financial Covenant	Capital Metric	Capital Metric	Capital Metric	Operating Activity	Operating Activity	Model Sensitivity
Max Leverage	Minimum Coverage	Debt Expense	Interest Expense	Purchase Premium	Tax Rate	EBITDA to Cash Conversion	Standard Error
4.8 -> 4.0	3.25	Net Debt	5.25%	10% – 45%	28%	61%	5%
Steps down Q1 to Q8	Interest Coverage floor	Both companies combined	Effective corporate tax rate	Scenario range Tested	Effective corporate tax rate	Equity to cash conversion ratio	Forecast error band, EBITDA dist. stdev

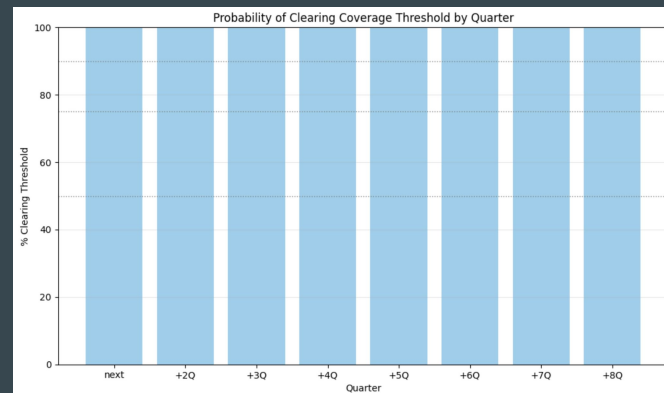
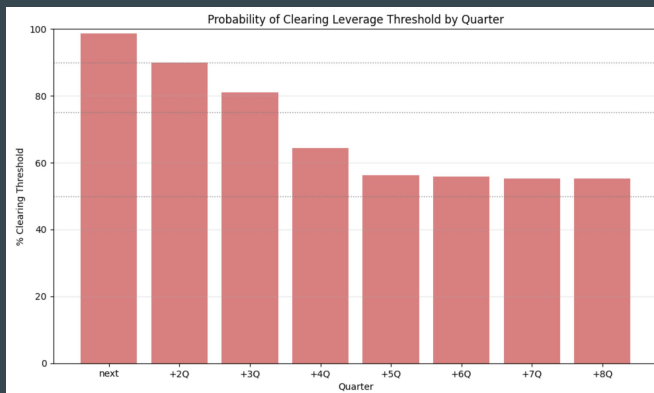
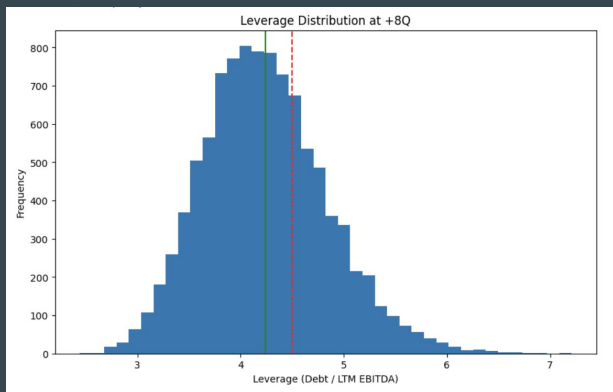
Python Model - 10% Debt Premium



Python Model - 25% Debt Premium



Python Model - 33% Debt Premium



Our Final Recommendation: To Acquire or Not to Acquire

Kraft-Heinz should acquire Campbell's Soup if they can agree to a debt premium below 25%

Recent Mergers that Provide Context

Unilever and McCormick recently agreed to a \$44.8B merger



Lookahead

- Could strengthen Kraft Heinz's market position by expanding its product portfolio and increasing scale

If no deal:

1. Improve balance sheet
2. More clearly defined synergies
3. Broader market conditions

Alternatives

- Pivot toward smaller brand
- Joint venture

The logo for Kraft Heinz, featuring the word "Kraft" in a bold, dark blue sans-serif font, followed by "Heinz" in a red, italicized script font.